

Parkview Crossing: Acquisition Summary

The property. 97 units, built 1958-59, at 901-951 NW 8th Ave, Pompano Beach, FL. Asking price \$13.8M (\$142,268/unit). The owner of record bought it in December 2021 for \$11.76M, so the ask is 17.3% higher. About 75% of the units are already renovated.

Recommendation: do not pay the ask. The most I would pay is about \$13.1M. That is the price at which the LP clears its 8% preferred return using the seller's assumable debt.

The plan

- **Finish the renovation.** Renovate the last 24 classic units at \$20,460 per unit. They reach market rent from Year 2.
- **Burn off loss-to-lease.** Let the 73 already-renovated units close toward market as they turn over.
- **Assume the seller's debt.** Take over the \$5.887M first mortgage at 3.0% (to December 2029) and the \$3.563M supplemental loan at 6.20%.
- **Refinance and sell.** Refinance in Year 4 with an agency fixed-rate loan at 7.24%, and sell at the end of Year 5.

Base case at \$13.8M (assumed debt)

Total cost / equity	\$14.55M / \$5.10M (90% LP, 10% GP co-invest)
Cap rate: broker / in-place (reassessed tax) / Year 1	7.0% / 5.86% / 6.36%
Year-1 NOI; operating expenses	\$878,230; \$10,736 per unit (54% of revenue)
Exit (end of Year 5)	6.60% cap, \$14.54M (\$149,920/unit)
Year-4 refinance	\$8.92M loan against \$9.45M payoff; \$38,965 capital call
Levered IRR / multiple	4.19% / 1.20x (LP = GP, no promote)
Unlevered IRR	5.53%
Year-1 cash-on-cash	8.86%
With new agency debt instead	2.45% levered IRR

Leverage lowers the return. New debt at 7.24% costs more than the property's 6.36% Year-1 yield, and the refinance pays a 5% prepayment premium at sale.

Maximum price by target

Target	Assumed debt	New debt
LP IRR 8%	\$13.11M (\$135,113/unit, 5.0% below ask)	\$12.57M
Levered IRR 12%	\$12.51M (9.3% below ask)	\$11.92M
Levered IRR 15%	\$12.08M (12.5% below ask)	\$11.46M

What moves the answer (levered IRR, assumed debt)

Change	Effect on IRR
Exit cap 6.10% / 7.10% (± 50 bps)	7.37% / 0.97%
Rent growth $\pm 0.5\%$ every year	6.34% / 1.97%
Price 10% below ask (\$12.42M)	12.62%
\$100/month renovation premium over market	5.66%

Method and verification

Property tax. Reassessed to 85% of the price (Fla. Stat. 193.011(8)), then grows 3% a year with market value. The 10% cap in 193.1555 is a ceiling, not a growth rate. The exit price accounts for the next buyer's reassessment.

Verification. `verify_model.py` rebuilds the model from the input cells alone and matches 945 figures to within \$1 or 1 bp, including all 200 sensitivity cells.

Open diligence items

- Rent roll and T-12
- Who pays water, sewer and trash; the lease form (RUBS clause)
- Roof condition and 40/50-year recertification status
- Insurance quote
- Loan documents: interest-only status, assumption test and fee